

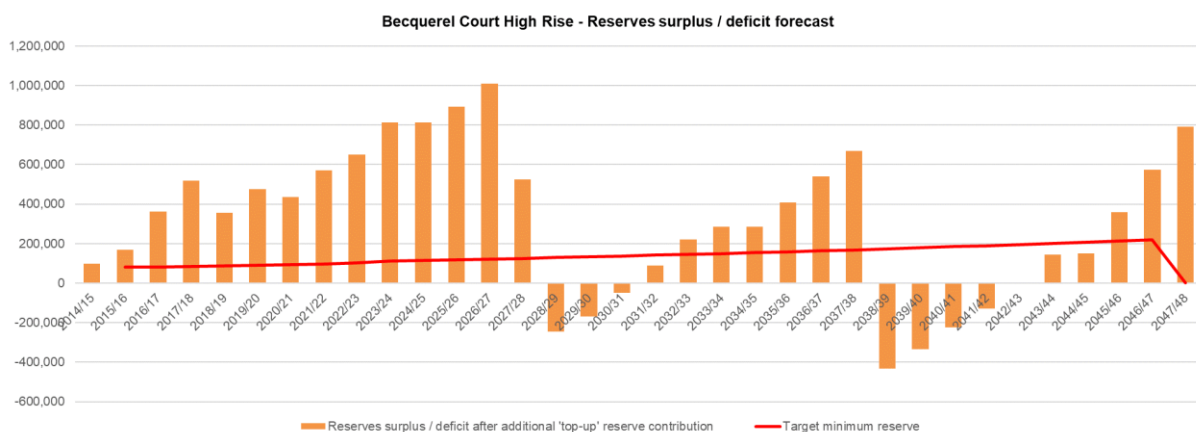
GMVML FAQ Response - Reserves

The Board are following the principles of the following publications from the Association of Residential Managing Agents (ARMA), which describe the purpose of reserves and how they should be established:

https://arma.org.uk/wp-content/uploads/2022/03/The_Importance_of_Reserve_Funds_-_ARMA_Introductory_Guide_for_Leaseholders.pdf

https://arma.org.uk/wp-content/uploads/2022/03/Reserve_and_Sinking_fund.pdf

The principle of reserves is that all leaseholders should pay their fair share towards the cost of longer term works throughout the period of ownership. This should reduce the likelihood of large one-off invoices being required as funds should be collected so that they are available for when the works become due. This is especially important as some blocks may have major expenditure becoming due across multiple cost lines at roughly the same time. Several periodic items that are needed are on cycles ranging from 5 years to 25 years and the costs associated with them are significant and require regular contributions. Whilst it may appear that some blocks have large reserves these are building up to specific spend items, as all planned items are costed and scheduled. By dropping the reserves collection during Covid, which we considered the right thing to do, some blocks are showing future deficits. Given this may be offset by the cladding remediation works that the developer is paying for we have kept the actual reserve collections flat until we have revised costs to determine if a reduction or increase is needed. Example spend profile for Becquerel High below:



The Board acknowledges that the overall charges in GMV West are high. There are a number of factors behind this, but the Reserves (or Capital Expenditure/CapEx) are a major contributor towards this. When developers build new sites, the majority of items will be new and therefore under a warranty of some sort. There is a low probability that costs for significant maintenance will fall to Leaseholders in the early years. It is only as building age that some of the longer-term costs need to be accounted for. It is in the interests of developers to keep costs low in the early years as this helps to sell the new build properties.

Once all plots on a particular development are completed it is common practice for the developer to relinquish control of the Board of the Management Company and pass it over to the residents. This happened for GMVML (GMV West) in 2013. The newer phases of GMV are in a separate management company that is completely independent to us (Peartree Way / GMV East) and still controlled by the developer.

Between 2015 and 2017 a revised comprehensive schedule of CapEx predicted expenditures and collections profiles were developed. These are based on a schedule of many of the main components of the buildings that will require maintenance, repairs or replacements, outside of the expected annual maintenance that is paid through the regular service charge. Individual meetings were held with each block and where some details on dates and attendees is available we have shared below:

25-year External PMP meetings			
Block	Date	Block Size	Attendees
Becquerel Hi and Low	17 October 2016	40	not noted
Da Vinci	25 July 2017	20	3
Metcalfe Court	25 July 2017	162	4
Newton Lodge	17 July 2017	46	handful
Holly Court	17 July 2017	166	handful
Maurer Court	16 November 2017	194	not noted
Farnsworth Court	14 November 2017	120	not noted
Kilby Court	16 November 2017	66	0
New Becquerel	14 November 2017	30	not noted
Alamaro Lodge	16 November 2015	44	not noted
Faraday Lodge	16 November 2015	56	not noted

These plans were developed based on guidance from chartered surveyors, manufacturers as well as site experience on the expected lifespan and required costs for each of the main components. This provided us with a predicted expenditure profile, which is different for each block, the estate and car parks.

Examples of the types of topics that would be covered by reserves including, but are not limited to:

- External repairs and redecorations
- Internal redecorations
- Lifts
- Communal carpets/floor coverings
- Lights and electrical infrastructure
- Door entry systems
- Water pumps (boosted cold water supply)
- Fire alarms / smoke detection/extraction systems
- Entrance doors
- TV/Satellite systems

Block	Consultation Date	Number of Attendees	Number of Queries	Quotes
Becquerel Hi and Low	25-Jul-17	Not noted	none	4
Cottrell	25-Jul-17	Not noted	none	4
Edison	25-Jul-17	Not noted	none	4
Becquerel New	23-May-19	5 across all	none	6
Metcalfe	23-May-19	5 across all	none	6
Holly	23-May-19	5 across all	12	6

It is important to note that, just because funds are available, doesn't necessarily mean that works are undertaken just because they are scheduled. In advance of proposing any major works a review is completed on the quality/status of the component to assess if the works really need to be done or can be delayed without undue risk, thereby not spending leaseholder money before it is really needed. This has the benefit of extending the life and getting more value from the original item or previous cycle of decoration.

Where any major expenditure is required, which will cost any individual leaseholder in excess of £250 a formal multiple stage Section 20 consultation process is triggered to advise of the need for the works, seeking suggestions for any contractors Leaseholders wish to be considered as well as confirming the outcome of any tender process before the works are instructed. This is always followed, but we note a very low historical response rate from GMV West Leaseholders to these mandatory consultation processes.

S20 Major works consultation				
Block	Consultation Date	Number of Attendees	Number of Queries	Quotes
Becquerel Hi and Low	25-Jul-17	Not noted	none	4
Cottrell	25-Jul-17	Not noted	none	4
Edison	25-Jul-17	Not noted	none	4
Becquerel New	23-May-19	5 across all	none	6
Metcalfe	23-May-19	5 across all	none	6
Holly	23-May-19	5 across all	12	6

To make meaningful savings to the overall charges we pay, it is revisions to the reserves that are likely to make the biggest difference. Artificially / temporarily reducing the Reserves from the Service Charge demands doesn't save any money. It simply delays the charges for another day and masks the true expenses scheduled for the building. The focus therefore needs to be reviewing and analysing each line in the CapEx in order to find ways to either reduce the costs/scope of works required, consideration of designing costly elements out

when completing works and pushing the frequency of work out over longer periods. Whilst we have **£8,186,679** in reserves across all blocks (figures accurate as of May 2023), the actual potential CapEx expenditure for 25 years is **£61,814,078 or £2,472,563** per year. This comes in different cycles so looking at spend for just the next year or two will not highlight significant items that are due in the next few years.

Schedule / Block name	Section 20 threshold	Total Reserves (30/05/23)	Planned Capex 25 Years (2015-2040)	Annualised Capex cost	Annual Capex cost (Avg per flat)	Annual Capex cost (Per sq. ft)
Estate	£85,266	£792,767	£3,156,491	£126,260	£114	£0.14
Alamaro Lodge	£9,167	£393,765	£2,221,057	£88,842	£2,019	£2.37
Becquerel Court hi-rise	£8,333	£657,234	£4,203,904	£168,156	£4,204	£4.39
Becquerel Court low-rise	£10,000	£401,318	£3,782,303	£151,292	£3,152	£3.77
New Becquerel Court	£6,250	£124,995	£1,468,619	£58,745	£1,958	£3.04
Cottrell Court Apartments	£4,167	£149,096	£1,500,132	£60,005	£3,000	£4.92
Cottrell Court Houses	£3,125	£97,185	£1,063,695	£42,548	£2,837	£2.66
Da Vinci Lodge	£4,167	£161,128	£976,840	£39,074	£1,954	£3.00
Edison Court Apartments	£5,208	£153,865	£1,730,995	£69,240	£2,770	£4.53
Edison Court Houses	£5,000	£220,753	£1,502,750	£60,110	£2,505	£2.38
Faraday Lodge	£11,667	£475,728	£2,616,043	£104,642	£1,869	£2.08
Farnsworth Court	£25,000	£780,042	£4,970,197	£198,808	£1,657	£2.04
Holly Court	£34,583	£644,062	£7,763,564	£310,543	£1,871	£2.78
Kilby Court Apartments	£11,458	£314,381	£2,085,676	£83,427	£1,517	£2.23
Kilby Court Houses	£2,292	£64,221	£300,545	£12,022	£1,093	£1.10
Maurer Court	£40,417	£1,360,969	£9,093,168	£363,727	£1,875	£2.26
Maurer Court Houses	£1,042	£28,988	£203,527	£8,141	£1,628	£1.22
Metcalfe Court	£33,750	£400,524	£7,536,923	£301,477	£1,861	£2.43
Moseley Row	£2,917	£122,796	£1,022,247	£40,890	£2,921	£2.23
Newton Lodge	£9,583	£290,255	£1,481,120	£59,245	£1,288	£2.10
Holly Court Car Park	£25,749	£36,503	£207,452	£8,298	£81	N/A
Metcalfe Court Car Park	£13,416	£60,770	£460,047	£18,402	£115	N/A
Maurer Court Car Park	£14,286	£159,464	£787,668	£31,507	£108	N/A
Moseley Row Car Park	£38,497	£172,026	£1,116,397	£44,656	£139	N/A
Da Vinci Commercial	N/A	£27,121	£67,220	£2,689	£2,689	£1.12
Osier Lane	N/A	£10,567	£61,683	£2,467	£1,234	£1.00
Maurer Commercial	N/A	£12,180	£96,296	£3,852	£3,852	£1.65
Metcalfe Commercial	N/A	£46,766	£267,807	£10,712	£1,785	£1.85
Newton Commercial	N/A	£27,209	£69,712	£2,788	£1,394	£0.63
Total		£8,186,679	£61,814,078	£2,472,563		

Note: This is an annualised view of CapEx collection if averaged out over 25 years. It is unlikely to match the equivalent figure in the reserve sheet which do vary based on upcoming spend.

Please also see the CapEx charts in the benchmarking document which gives a representation of Reserve estimates by category for each block. When the Service Charge

demands were issued in February 2023, the Board committed to reviewing the CapEx throughout 2023 to see where savings can be found. This remains the case. The last major reviews were between 2017 and 2019. Since 2020 the uncertainty around cladding remediation works and who would pay for it meant any spend on surveyors for updated advice would likely be superseded once we had a decision on cladding remediation. There is now a firm view on the low-rise blocks and a developer pledge to pay for life critical remediation on the high-rise blocks. The fire risk surveys, currently in progress, which will determine the scope of these works, are expected to report back in August 2023 allowing the Developer to progress with a revised plan. Once the content of this plan is known, the Board will be able to reassess what residual works will still need to be completed from the reserves.

For many blocks, the two biggest items in the CapEx, by a large majority, are for external decorations / repairs and lifts. For some blocks these two lines alone account for more than 75% of the planned CapEx. It is therefore essential that these two receive the greatest level of attention in order to drive out costs from the plans.

External Redecorations - As stated above, for the high-rise blocks, we are awaiting details from the developer for the scope of works that they will be completing to remediate the fire safety issues on the external wall systems (cladding). Assuming it is confirmed that cladding will be completely replaced for some blocks, at the expense of the developer, this will mean that any maintenance costs on the cladding over the next few years will be taken out of the CapEx and we would then follow the maintenance regime of the new cladding system, which we would expect to be reduced in the coming years as it will be new.

For those blocks being remediated, it will be prudent to consider what other works are likely to be required over the next few years to the external of the building to consider whether it would be cost effective to bring this forward. If other works are completed at the same time as scaffolding is up, this is likely to be cost effective, as the access costs are normally a significant part of any external works programme. This might even enable us to remove the entirety of the next planned cycle of decorations for some blocks. This will be considered in detail once we know the scope of what the developer will cover, which will become clearer later in the year.

Following consultations with Leaseholders across all blocks in 2017, the frequency for external decorations was extended from seven to ten years, for the majority of blocks. One of the main drivers for the external decoration frequency is for the maintenance and repair of the wooden external surfaces, including the window frames. All blocks except, Maurer, Alamaro and Faraday have wooden external window frames. The Board have commissioned a Chartered Surveyor to explore options for how the external redecoration cycles could be further extended, which may include options to design out some of the maintenance obligations of the blocks.

The maintenance requirements, design features and therefore cost implications are likely to be different for each block. It is envisaged that the outcome of the surveyors' reports will be a consultation with Leaseholders, block-by-block, to help agree on the approach going forward, which may include compromises that may be needed to facilitate some cost

savings. This may include window replacements or amendments to the lease to allow extended maintenance cycles.

Lifts - when our first lifts were installed, some of which are now 20 years ago, it was a new product, without a separate lift room as the equipment is on the roof of the lift. When the Board first investigated what would be needed at the end of the expected life of a lift, there were no upgrade options available. The CapEx was therefore developed on the basis of lift replacements at the end of their expected life. The likely cost for this based on 2017 figures was £120,000 - £140,000 excl. VAT. The ratio of flats to a lift range from 13 (Becquerel High Rise) to 46 (Newton Lodge) so this has a disproportionate cost impact on some blocks.

In 2022 the Board investigated the topic again, with limited success to drive any material cost reductions. We did conduct detailed condition surveys and remediating the findings is likely to result in extending the life of the existing lifts. This has been further pursued through 2023 and an option has been identified with the lift manufacturer so that a refurbishment/upgrade programme is now available instead of full replacements. This is expected to extend the predicted life of each lift by a further 15 years. We consider this to be much more cost efficient.

We have 30 lifts across the village and the change from a replacement to a refurbishment/upgrade programme is expected to remove costs of approximately **£4,510,502** from the CapEx reducing it from **£7,239,557** to **£2,729,055**. The work on this topic is close to completion, following which this will be deployed into the plans for the relevant blocks and therefore adjust the collections profile accordingly.

Block name	Original Lift Replacement Cost	Lift Rep year	No of lifts	No of units	Square footage	Average unit size (sq. ft)	Revised Lift Upgrade Cost	Cost Reduction	Average Cost Reduction per unit
Alamaro Lodge	£398,972	2025	2	44	37467	852	£156,843	£242,129	£5,503
Bec hi-rise	£654,144	2027	3	40	38286	957	£251,214	£402,930	£10,073
New Bec Crt	£262,017	2031	1	30	19321	644	£99,568	£162,449	£5,415
Da Vinci Lodge	£269,877	2032	1	20	13040	652	£112,732	£157,145	£7,857
Faraday Lodge	£420,735	2025	2	56	50345	899	£158,626	£262,109	£4,681
Farnsworth Crt	£883,747	2028	4	120	97619	813	£339,435	£544,312	£4,536
Holly Court	£1,007,950	2030	4	166	111714	673	£390,952	£616,998	£3,717
Maurer Court	£1,704,694	2027	7	194	160956	830	£629,790	£1,074,904	£5,541
Metcalfe Court	£1,196,798	2032	4	162	123871	765	£407,716	£789,082	£4,871
Newton Lodge	£294,411	2032	1	46	28225	614	£119,798	£174,613	£3,796
Mos Car Park	£146,212	2025	1	321	N/A	N/A	£62,381	£83,831	£261
	£7,239,557		30				£2,729,055	£4,510,502	

As part of the budget letters in March 2023, the Board committed to reviewing other lines in the CapEx, but these are likely to be smaller in magnitude than the External Redecorations and lifts.

We have highlighted the cost of the last external cycle, the next planned cycle and lifts below. These make up the largest part of the CapEx. In most cases the next cycle assumes that a percentage of cladding (25-50%) will need to be repaired or replaced. If the developer ends up replacing this for high rise blocks at no cost to leaseholders, it will lead to a significant reduction in what we need to forecast in the budget. We are exploring alternative options to minimise this cost for low rise buildings as well. Most blocks below are on a 10-year cycle except Moseley Row where leaseholders chose to stay with a 7-year cycle.

Schedule / Block name	Last External Works Cost	Last External Year	Next External Works Cost	Next External Year	Original Lift Replacement Cost	Lift Replacement year	No of lifts
Estate	N/A	N/A	£123,934	2026	N/A	N/A	N/A
Alamaro Lodge	N/A	N/A	£582,125	2029	£398,972	2025	2
Becquerel Court hi-rise	£341,885	2018	£955,834	2028	£654,144	2027	3
Becquerel Court low-rise	£319,084	2018	£1,149,801	2028	N/A	N/A	N/A
New Becquerel Court	£206,078	2019	£552,882	2030	£262,017	2031	1
Cottrell Court Apartments	£151,466	2018	£381,796	2028	N/A	N/A	N/A
Cottrell Court Houses	£204,013	2018	£412,115	2028	N/A	N/A	N/A
Da Vinci Lodge	N/A	N/A	£145,551	2024	£269,877	2032	1
Edison Court Apartments	£193,870	2018	£458,366	2028	N/A	N/A	N/A
Edison Court Houses	£277,066	2018	£631,134	2028	N/A	N/A	N/A
Faraday Lodge	N/A	N/A	£763,830	2029	£420,735	2025	2
Farnsworth Court	£407,666	2015	£825,148	2025	£883,747	2028	4
Holly Court	£759,698	2019	£1,564,004	2029	£1,007,950	2030	4
Kilby Court Apartments	£217,316	2014	£480,489	2024	N/A	N/A	N/A
Kilby Court Houses	£45,643	2014	£94,292	2024	N/A	N/A	N/A
Maurer Court	£648,950	2014	£1,134,802	2025	£1,704,694	2027	7
Maurer Court Houses	£22,384	2014	£54,233	2025	N/A	N/A	N/A
Metcalfe Court	£791,509	2019	£1,056,855	2029	£1,196,798	2032	4
Moseley Row	£157,989	2017	£208,815	2024	N/A	N/A	N/A
Newton Lodge	N/A	N/A	£277,401	2024	£294,411	2032	1
Holly Court Car Park	£12,068	2019	£17,596	2029	N/A	N/A	N/A
Metcalfe Court Car Park	£32,222	2019	£21,995	2029	N/A	N/A	N/A
Maurer Court Car Park	N/A	N/A	£94,156	2025	N/A	N/A	N/A
Moseley Row Car Park	£35,322	2017	£58,100	2024	£146,212	2025	1
Da Vinci Commercial	N/A	N/A	£26,669	2024	N/A	N/A	N/A
Osier Lane	N/A	N/A	£18,758	2024	N/A	N/A	N/A
Maurer Commercial	£7,924	2014	£19,601	2025	N/A	N/A	N/A
Metcalfe Commercial	£10,335	2019	£52,106	2029	N/A	N/A	N/A
Newton Commercial	N/A	N/A	£28,381	2024	N/A	N/A	N/A